BUSINESS READER · SESSION 1 OF 8

Who earned this profit?

Tracing money through a results statement.
Eternal Q1 FY27, and Zepto's paused IPO.
Monday 24 August 2026 · 90 minutes · no pre-reading

OPENING

When a company announces a profit, what actually earned it: the operations, the tax line, or the interest on its bank balance?

And is the answer in the document?

OPENING · LIVE POLL

Eternal reported ₹92 crore of profit last quarter. How much did its operations earn?

A About ₹90 crore

B About ₹275 crore

C Roughly zero

D It made a loss

KEY LEARNING ACTIVITY 1 · 25 MINUTES

Eternal, Q1 FY27

The one company everybody in this room has already analysed.

ARTICLE 1

Read this now. Four minutes, on your own, pen in hand.

THE ARTICLE

Eternal Q1 profit jumps fourfold to ₹92 crore on Blinkit strength

Business Standard, 22 July 2026. A four-minute read.

MARK AS YOU GO

- A number with only one comparison
- A claim with no figure behind it

Source: Business Standard, 22 Jul 2026. Search "profit jumps fourfold".

ARTICLE 1 · QUESTION 1

What is this article telling you?

And what is it leaving out?

Write your answer before you say it. Two minutes.

ARTICLE 1 · QUESTION 1

The article printed nothing false. What it needed was two lines below the headline.

THE CLAIMS

Profit up fourfold.
Revenue nearly tripled.
Blinkit drives it.

EASY TO MISS

Profit **fell 47%** on last quarter.

The jump sits on a low base.

NEVER TELLS YOU

Order count.
What an order earns.
Who earned the profit

Source: Business Standard, 22 Jul 2026.

ARTICLE 1 · QUESTION 2

What is actually inside “₹92 crore profit”?

The company's own statement is next. You do the arithmetic before I do.

ARTICLE 1 · THE DOCUMENT

Subtract expenses from revenue. The operations row is negative in every column on this table.

₹ crore, consolidated, as filed

₹ CRORE	Q1 FY27 JUN 2026	Q4 FY26 MAR 2026	Q1 FY26 JUN 2025	FY26 FULL YEAR
Revenue from operations	20,211	17,292	7,167	54,364
Total expenses	20,314	17,406	7,433	55,145
Operations CALCULATED	(103)	(114)	(266)	(781)
Other income	375	342	354	1,396
Profit before tax	272	228	88	615
Tax	180	54	63	249
Profit for the period	92	174	25	366

Source: Statement of consolidated unaudited financial results, Q1 FY27, annexed to the shareholder letter. Search "Revenue from operations".

Operations row: calculated, not printed

ARTICLE 1 · THE CORRECTION

Everything on that slide was true. The conclusion I drew from it was wrong.

₹ crore, Q1 FY27, from the same filed statement

INSIDE TOTAL EXPENSES

Revenue from operations	20,211
Operating expenses CALCULATED	20,163
Operating profit	**+48**
Finance costs	**(151)**
Other income	375
Profit before tax	**272**

WHAT I GOT WRONG

That line carries **₹151 crore of finance costs**. Cost of capital, not cost of selling.

Take it out: the business earned **₹48 crore**.

I was fluent, I had the filing open, and I was wrong.

Source: same statement, expenses block. Search "Finance costs". Nine lines add to 20,314.

Operating profit: calculated

ARTICLE 1 · THE COMPARISON RULE

One number, two headlines, both true. The writer picked the comparison that made the story.

₹ crore, profit for the period

AGAINST LAST YEAR

25 → 92

“Profit jumps fourfold”

Year on year.

AGAINST LAST QUARTER

174 → 92

“Profit falls 47 per cent”

Quarter on quarter.

Source: filed statement, columns as above. Both headlines ran in July 2026.

ARTICLE 1 · SO WHAT

Same mechanism in 2023, and it is not one company's quirk.

₹ crore

ZOMATO, AUGUST 2023

> Milestone Alert… PAT positive (first time ever!)… +INR 2 crore.

The filed quarter: **₹15 cr pre-tax loss**, **₹17 cr tax credit**.

Minus fifteen, plus seventeen, plus two.

THREE MORE

OYO. Claimed ₹623 cr. Audited ₹245 cr, on a ₹489 cr pre-tax loss.

Wakefit. Tax credit larger than the year's pre-tax profit.

Tata Motors. A quarter of ₹31,800 cr was a deferred tax asset.

Sources: Zomato blog 3 Aug 2023 against the filed June 2023 statement; Business Standard and Medianama on OYO FY25; Wakefit FY26 NSE filing, note 6; Tata Motors Q4 FY24 press release.

ARTICLE 1 · THE MOVE

Two rules from today, and the three piles you split any story into.

THE MOVE	WHAT IT MEANS
Rule 1	On any profit or growth number, ask **who earned it**
Rule 2	Never accept one comparison. Ask for last quarter, and last year
Then split it	General business concepts · industry concepts · the assertions

SHOWCASE OF LEARNING

A company you have not seen today. Read this, then five questions.

> Groww posts 3X profit surge to ₹1,819 crore in FY25, ahead of IPO. The company had reported a loss of ₹805 crore in FY24, which included a one-time tax payment of ₹1,340 crore for moving its domicile from the US to India.

Groww is a stockbroking app, preparing to list.

Source: Outlook Business on Groww's FY25 results. Search "3x profit surge".

SHOWCASE OF LEARNING · 1 OF 5

Without the one-time tax, what was FY24's result?

A A loss of ₹805 crore

B A profit of about ₹535 crore

C A profit of ₹1,340 crore

D Cannot be computed from the extract

SHOWCASE OF LEARNING · 2 OF 5

The “3X surge” is computed against which base?

A The reported ₹805 crore loss

B The cleaned-up ex-tax profit

C The extract does not say, and that is the problem

D FY24 revenue

SHOWCASE OF LEARNING · 3 OF 5

What is the strongest thing you can conclude from the extract alone?

A Groww's business tripled

B The FY24 loss was mostly a one-time artefact

C Groww is overvalued

D The FY25 profit is fake

Which of these does the extract **not** tell you?

A That there was a one-time tax

B Whether FY25 holds one-time items of its own

C The FY25 profit figure

D The FY24 loss figure

SHOWCASE OF LEARNING · 5 OF 5

Before repeating “3x profit surge” in a meeting, what is the first question you ask?

One line. No options.

RECAP · TODAY'S CARD

One move to carry out of this room.

The move	Ask **who earned it**, then put **two comparisons** next to it
Use it on	Any results headline, before repeating it
The tell	You repeat the number but cannot name the line beneath it